Illustration 11

From the following information, find out the value of goodwill by capitalisation method:

(a) Average profit = ₹ 60,000

(b) Normal rate of return = 10%

(c) Capital employed = ₹ 4,50,000

Solution

$$\text{Total capitalised value of the business} = \frac{\text{Average profit}}{\text{Normal rate of return}} \times 100$$

$$= \frac{60,000}{10} \times 100$$

$$= ₹\ 6,00,000$$

Goodwill = Total capitalised value of the business – Capital employed

= 6,00,000 – 4,50,000

= ₹ 1,50,000



Goodwill based on capitalisation of average profit method and capitalisation of super profit method will give the same amount of goodwill.

Points to remember

- Goodwill is the good name or reputation of the business which brings benefit to the business.
- It is an intangible fixed asset. Following are the circumstances that require valuation of goodwill of partnership firms in order to protect the rights of the partners:
- When the profit sharing ratio is changed, when a new partner is admitted into a firm, when an existing partner retires from the firm or when a partner dies and when a partnership firm is dissolved
- Goodwill may be classified into acquired goodwill and self-generated goodwill.
- Following are the methods generally followed to value goodwill:
  Average profits methods, super profit methods and capitalisation method

Self-examination questions

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I Multiple choice questions

Choose the correct answer

1. Which of the following statements is true?

(a) Goodwill is an intangible asset

(b) Goodwill is a current asset

(c) Goodwill is a fictitious asset

(d) Goodwill cannot be acquired

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